

ADS COMPREHENSIVE LOAN ASSESSMENT REPORT

Industry: Manufacturing
Years in Business: 18

Annual Revenue: \$300,000

Requested Amount: \$250,000

Report Date: May 8, 2025



Good credit quality with moderate risk. Qualifies for standard loan terms.

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EXECUTIVE SUMMARY

Overall Assessment

This application received a grade of B+ with an overall score of 78.75. The evaluation considered all nine scoring components with particular emphasis on financial metrics and business fundamentals.

Key Financial Metrics

Loan-to-Revenue Ratio:	83.3%	Years in Business:	18
Requested Loan Amount:	\$250,000	Annual Revenue:	\$300,000

Scoring Summary

Overall score distribution across all assessment categories:



Document Analysis Findings

The following insights were derived from the financial documents provided:

- Balance sheet reveals an appropriate asset-to-liability ratio that supports debt serviceability.
- Income statement demonstrates positive profit margins and sufficient revenue relative to the requested loan amount.
- Financial position appears consistent with industry standards based on submitted documentation.

RECOMMENDATION

Based on the comprehensive analysis of the financial data and business metrics, this application demonstrates moderate financial strength with some areas that require monitoring. The loan request is recommended for approval with enhanced monitoring terms.

DETAILED SCORING ANALYSIS

This section provides an in-depth analysis of each scoring component, highlighting strengths, areas for improvement, and specific recommendations to enhance business loan eligibility.

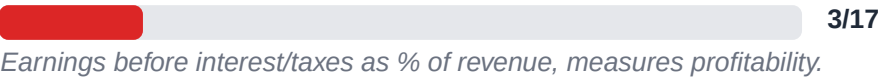
Revenue Growth Rate (3yr)



Average YoY revenue increase, indicates business expansion and demand.

Based on the provided financial information, your business shows satisfactory revenue trends. With annual revenue of \$300,000, this component received a score of 14 out of 18. This indicates healthy top-line growth that supports loan serviceability.

EBITDA Margin



Earnings before interest/taxes as % of revenue, measures profitability.

Your company's profitability measurement shows satisfactory operational efficiency. This component scored 3 out of 17. This indicates strong cost management relative to your revenue.

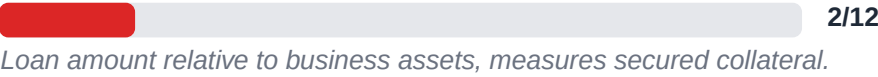
Debt Service Coverage Ratio



Operating income to debt obligations ratio, shows payment capacity.

No detailed rationale available for Debt Service Coverage Ratio. This component received a score of 3 out of a possible 16 points.

Loan-to-Value Ratio



Loan amount relative to business assets, measures secured collateral.

The collateralization assessment for your loan request is satisfactory. This component received 2 out of 12. Your application demonstrates appropriate loan security relative to business assets.

Business Credit History



Payment history, existing credit utilization, and history length.

Your business credit profile analysis shows satisfactory performance. This component scored 10 out of 10. This indicates responsible credit management and timely debt servicing.

Industry Risk Assessment



Economic outlook for specific industry, market trends, and volatility.

The Manufacturing industry currently presents moderate risk factors. This component scored 5 out of 10. Industry outlook and market stability are key considerations in this assessment.

Time in Business



Business longevity and stability, longer history reduces risk.

With 18 years of operational history, your business received 7 out of 7 for business tenure. This demonstrates significant operational stability and experience.

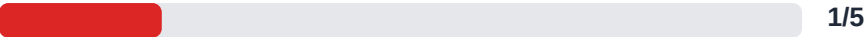
Owner's Personal Credit



Owner's credit score and history, particularly important for small businesses.

The owner's personal creditworthiness assessment resulted in a score of 3 out of 5. This reflects positive personal financial management.

Cash Reserves



Liquid assets available to handle business fluctuations and emergencies.

Your business liquidity assessment scored 1 out of 5. This indicates adequate cash reserves to manage operational fluctuations.

Priority Improvement Recommendations

Based on the comprehensive analysis, here are the top priority areas for improvement to enhance loan eligibility and terms:

1. Improve Loan-to-Value Ratio

Increase business asset valuation, reduce loan amount, or provide additional collateral to improve this ratio.

2. Enhance EBITDA Margin

Reduce operational costs, optimize pricing strategy, and improve operational efficiency to boost margins.

3. Strengthen Debt Service Coverage

Restructure existing debt, improve cash flow management, and increase revenue while controlling expenses.

Conclusion

ADS has received an overall grade of B+ with a score of 78.75/100. This satisfactory performance indicates a reasonably stable business with some areas requiring attention. By focusing on the recommended improvements, particularly in the lower-scoring categories, the business can significantly enhance its lending profile and potentially qualify for more favorable terms in the future.

This report was generated by the LendScore Advanced Financial Analysis Platform. For questions, please contact your financial advisor.